

US Bond Market **Weekly Update**

10yr Treasury 4.77% ▼ 2 bps MTD	2yr Treasury 4.34% ▼ 5 bps MTD	IG OAS 81 bps ▼ 0 bps MTD	HY OAS 265 bps ▼ 0 bps MTD
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WORD ON THE DESK

Fixed income markets posted modest gains this week as rates drifted lower across the curve, with the front end leading the rally in a classic bull-steepening configuration. Credit markets proved resilient, with both investment-grade and high-yield spreads holding flat month-to-date even as rates moved — a constructive signal for risk appetite heading into September. With no Fed speakers on the calendar and no late-breaking macro catalysts, the week's price action was largely technical, leaving portfolio managers to assess duration positioning and carry dynamics ahead of what is historically a heavy issuance month. We continue to watch the long end closely given elevated absolute yield levels relative to a year ago, and view current spread levels as fair-to-tight, warranting selective rather than aggressive credit extension.

MARKET COMMENTARY

01 Treasury yields declined across the curve this week in a bull-steepening move, with the 2-year note falling to 4.34% [DATA: as of 2026-09-03] from a month-start level of 4.39%, while the 10-year eased to 4.77% [DATA: as of 2026-09-03] from 4.79% — the front end outperforming and driving a modest widening of the 2s10s spread to approximately 43 basis points. The 30-year bond settled at 5.25% [DATA: as of 2026-09-03], down 2 basis points from its September month-start level of 5.27%, reinforcing the bull-steepening narrative as the long end lagged the front-end rally.

→ On a year-over-year basis, the curve sits materially higher across all tenors — the 2-year is up 75 basis points from 3.59%, the 10-year up 60 basis points from 4.17%, and the 30-year up 39 basis points from 4.86% — underscoring the persistently elevated rate environment that continues to anchor portfolio duration decisions.

→ The 5-year yield closed at 4.52% [DATA: as of 2026-09-03] versus a month-start of 4.55% and a year-ago level of 3.65%, reflecting a 87-basis-point year-over-year increase that illustrates the degree to which intermediate rates remain restrictive relative to recent history.

02 Investment-grade corporate spreads were unchanged month-to-date at 81 basis points OAS [DATA: as of 2026-09-03], reflecting a stable technical backdrop despite the early-September period that typically brings a surge in new supply. IG total returns came in at +0.13% [DATA: as of 2026-09-03], benefiting modestly from the modest rates rally rather than any material spread compression.

→ September is historically the heaviest issuance month of the year for IG corporates; any sustained supply wave could pressure spreads from current levels, and the flat MTD spread read suggests the market has yet to fully absorb a meaningful issuance calendar.

→ At 81 basis points, IG OAS remains near historically tight levels, offering limited cushion against a risk-off shock — a consideration that favors up-in-quality positioning and shorter spread duration within credit allocations.

03 High-yield spreads also held flat month-to-date at 265 basis points OAS [DATA: as of 2026-09-03], with HY total returns of +0.14% [DATA: as of 2026-09-03] modestly outpacing IG on the week — a signal that risk appetite remains constructive even in the absence of a clear macro catalyst. The tight spread environment and positive return contribution from carry continue to support HY, though the absolute spread level leaves little room for error if growth expectations deteriorate.

→ At 265 basis points, HY OAS sits well inside long-run historical averages, suggesting the asset class is pricing a benign default and growth outlook; any upward revision to recession probability would likely reprice spreads sharply wider from here.

→ The marginal outperformance of HY versus IG (+0.14% vs. +0.13%) reflects carry dynamics rather than spread tightening, which is a less durable source of return — investors should not extrapolate spread compression from this week's data.

04 Agency MBS and broader securitized product performance data is not available in this week's payload; however, the bull-steepening rate environment — with the front end rallying more than the long end — presents a mixed backdrop for MBS. Lower short rates can reduce prepayment optionality costs, while a steeper curve and elevated 30-year yields near 5.25% sustain servicer hedging pressure and limit duration extension risk for coupon-current pools.

→ In a bull-steepening environment, current-coupon MBS typically outperforms Treasuries on a duration-adjusted basis as convexity hedging demand moderates — portfolio managers with MBS underweights may find the technical setup more favorable than it has been in flatter-curve regimes.

05 No Federal Reserve speakers were scheduled or on record this week, leaving markets without fresh policy signals during a period of otherwise quiet macro data flow. The absence of Fed commentary is itself notable in early September, a period when officials historically begin framing the FOMC meeting narrative ahead of the September decision.

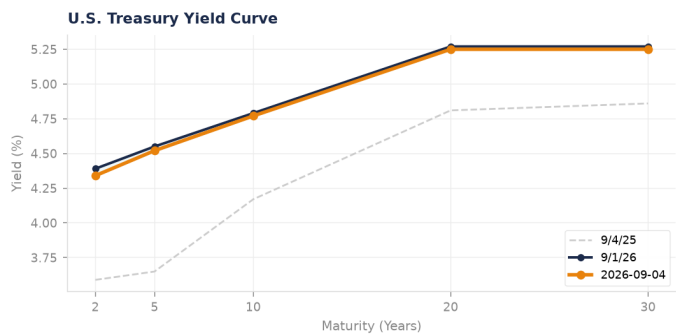
→ With no Fed guidance to anchor expectations, rates moved on technical factors alone — reinforcing that the near-term direction of policy remains data-dependent and that the next significant catalyst is likely to come from the August CPI print or the September FOMC meeting itself.

06 No late-breaking geopolitical or macro events were flagged in this week's data payload, leaving the market to trade on existing fundamentals — a relatively benign backdrop that supported the modest risk-on tone evident in the flat spread reads and positive total returns across credit sectors.

→ The quiet event calendar is unlikely to persist deep into September; key risks on the horizon include potential fiscal headlines around the U.S. budget process, central bank meetings in Europe and Japan, and any escalation in global trade policy — all of which warrant maintaining adequate liquidity buffers in portfolio construction.

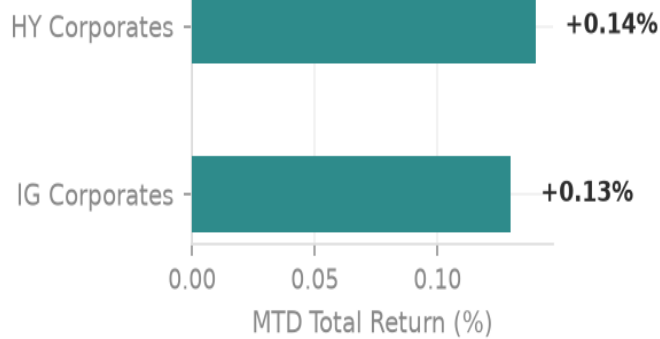
07 ■■ QA flags present — human review required before trusting figures.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.34	4.52	4.77	5.25	5.25
MTD (bps)	-5	-3	-2	-2	-2

Month-to-Date Returns



Sector	OAS (bps)	MTD Chg
IG Corporate	81	0
HY Corporate	265	0

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.34%	2026-09-03	FRED:DGS2
5yr Treasury	4.52%	2026-09-03	FRED:DGS5
10yr Treasury	4.77%	2026-09-03	FRED:DGS10
20yr Treasury	5.25%	2026-09-03	FRED:DGS20
30yr Treasury	5.25%	2026-09-03	FRED:DGS30
IG OAS	81.0 bps	2026-09-03	FRED:BAMLC0A0CM
HY OAS	265.0 bps	2026-09-03	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+0.13%	2026-09-03	FRED:BAMLC0A0CMTRIV
HY Corporates MTD Return	+0.14%	2026-09-03	FRED:BAMLHYH0A0HYM2TRIV